



## Nation Media Group Limited

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Directors  
W.D.Kiboro, Chairman  
J.Muganda, Group Chief Executive  
D.Aluanga  
R.Dowden (British)  
S.Gitagama  
L.Huebner (American)  
Y.Jetha (British)  
S.Kagugube (Ugandan)

N. Karago  
J.Montgomery (British)  
T.Mshindi (Alternate)  
O.Mugenda  
L.Mususa (Tanzanian)  
F.O.Okello  
A.Poonawala (Swiss)  
G.M Wilkinson (Irish)

29 August 2016

Chief Executive  
Capital Markets Authority  
Embankment Plaza, 3<sup>rd</sup> Floor  
Longonot Road, Upper Hill  
Nairobi

Chief Executive  
Nairobi Securities Exchange  
55 Westlands Road  
Nairobi

Dear Sirs

### **RE: NATION MEDIA GROUP LTD – 2016 HALF YEAR RESULTS**

We are pleased to forward herewith the Group's unaudited Half Year financial results for the period ended 30th June 2016, comprising of the Consolidated Statement of Comprehensive Income, the Statement of Financial Position and the Condensed Cash flow Statement, together with the announcement.

Yours faithfully,  
**Nation Media Group Limited**



**J.C KINYUA**  
**GROUP COMPANY SECRETARY**

CC: J. Muganda  
S. Gitagama

## **NATION MEDIA GROUP LIMITED**

The Directors are pleased to announce the unaudited half year Group results, for the six months period that ended 30<sup>th</sup> June, 2016.

Group turnover at Kshs.5.63 billion and profit before tax at Kshs.1.14 billion was 7.8% and 19.9% below the same period last year respectively.

The Group performance was adversely affected by revenue shortfall, occasioned by a drop of volumes and bad debt provisions due to delayed payments especially by government entities.

The economic environment in the local and regional economies remains challenging and is adversely affecting businesses.

The Group will continue to take appropriate actions to mitigate the adverse impact of the economy, such as identifying new revenue streams and constantly reviewing the cost structure.

### **INTERIM DIVIDEND**

The Directors have resolved to declare an interim dividend of Kshs.2.50 (100%) per share (2015: Kshs.2.50 per share) for the half year, on the issued share capital of 188,542,286 ordinary shares of Kshs.2.50 each. The total interim dividend payout will amount to Kshs.471.4 million (2015: Kshs.471.4 million).

The dividend will be paid less withholding tax where applicable on or about 30<sup>th</sup> September, 2016, to shareholders registered at the close of business on 16<sup>th</sup> September, 2016.

The register of members will be closed from 19<sup>th</sup> September to 23<sup>rd</sup> September 2016, both dates inclusive.

By order of the Board

**J C Kinyua**  
**GROUP COMPANY SECRETARY**  
**30<sup>th</sup> August 2016**

**Nation Media Group Limited**  
**Unaudited Group results for the six months to 30 June 2016**

**Consolidated Statement of Comprehensive Income**

|                                   | June<br>2016<br>Kshs.million | June<br>2015<br>Kshs.million |
|-----------------------------------|------------------------------|------------------------------|
| <b>Turnover</b>                   | <b>5,634.8</b>               | <b>6,110.1</b>               |
| Profit before income tax          | 1,144.9                      | 1,429.6                      |
| Income tax expense                | (333.4)                      | (406.5)                      |
| Profit after income tax           | 811.5                        | 1,023.1                      |
| Other comprehensive income        | (26.1)                       | (97.9)                       |
| <b>Total comprehensive income</b> | <b>785.4</b>                 | <b>925.2</b>                 |
| Attributable to:                  |                              |                              |
| Owners of the parent              | 786.9                        | 931.8                        |
| Non controlling interest          | (1.5)                        | (6.6)                        |
|                                   | 785.4                        | 925.2                        |
| Earnings per share (Kshs)         | 4.17                         | 4.94                         |
| Interim dividend per share (Kshs) | 2.50                         | 2.50                         |

**Statement of Financial Position**

|                                | 30th June<br>2016<br>Kshs.million | 31st December<br>2015<br>Kshs.million |
|--------------------------------|-----------------------------------|---------------------------------------|
| <b>Capital and reserves</b>    |                                   |                                       |
| Share capital                  | 471.4                             | 471.4                                 |
| Other reserves                 | (81.4)                            | (56.4)                                |
| Retained earnings              | 7,416.7                           | 7,076.2                               |
| Proposed dividends             | 1,885.4                           | 1,414.1                               |
|                                | <b>9,692.1</b>                    | <b>8,905.3</b>                        |
| Non controlling interest       | 46.9                              | 48.4                                  |
| <b>Total equity</b>            | <b>9,739.0</b>                    | <b>8,953.7</b>                        |
| <b>Non-current liabilities</b> | 151.5                             | 151.9                                 |
|                                | <b>9,890.5</b>                    | <b>9,105.6</b>                        |
| <b>Assets</b>                  |                                   |                                       |
| <b>Non-current assets</b>      | 5,097.7                           | 5,171.8                               |
| <b>Working capital</b>         |                                   |                                       |
| Current assets                 | 8,335.7                           | 7,524.9                               |
| Current liabilities            | 3,542.9                           | 3,591.1                               |
| <b>Net working capital</b>     | 4,792.8                           | 3,933.8                               |
|                                | <b>9,890.5</b>                    | <b>9,105.6</b>                        |

**Condensed Cash flow Statement**

|                                              | 6 months<br>ended<br>30.06.16<br>Kshs.million | 6 months<br>ended<br>30.06.15<br>Kshs.million | 12 months<br>ended<br>31.12.15<br>Kshs.million |
|----------------------------------------------|-----------------------------------------------|-----------------------------------------------|------------------------------------------------|
| Cash generated from operations               | 1,122.0                                       | 1,559.7                                       | 3,318.4                                        |
| Interest received                            | 168.2                                         | 165.3                                         | 324.6                                          |
| Interest paid                                | (0.3)                                         | (4.4)                                         | (8.3)                                          |
| Tax paid                                     | (57.6)                                        | (699.4)                                       | (767.4)                                        |
| <b>Net cash from operating activities</b>    | <b>1,232.3</b>                                | <b>1,021.2</b>                                | <b>2,867.3</b>                                 |
| Net cash used in investing activities        | (211.6)                                       | (596.2)                                       | (1,339.8)                                      |
| Net cash from financing activities           | (38.2)                                        | 155.9                                         | (1,915.8)                                      |
| <b>Increase in cash and cash equivalents</b> | <b>982.5</b>                                  | <b>580.9</b>                                  | <b>(388.4)</b>                                 |
| At start of period                           | 3,063.3                                       | 3,451.7                                       | 3,451.7                                        |
| <b>At end of period</b>                      | <b>4,045.8</b>                                | <b>4,032.6</b>                                | <b>3,063.3</b>                                 |